The Memory Cycle Journal

LEAD STORY · KEY NUMBERS · FROM THE INBOX · ON X · CYCLE TRACKER · EVENTS

KOSPI (FRI NEAR CLOSE / CIRCUIT BREAKER)
5,042.25 −6.34% near close after Level-1 halt ~3 min in (low ~4,911 / −8.5%); Thu close 5,383.80 (−5.28%); Samsung / SK hynix −6.45% / −10.68% · Korea Herald, Sedaily, Yahoo

MICRON (THU CLOSE)
$656.39 −17.46%; Sandisk $806.43 (−22.26%, worst in S&P); SOX 9,011.14 (−12.25%, worst since Mar 2020); Nasdaq −5.52% · Exa, MarketWatch / Morningstar

LEAD STORY

MARKETS · POLICY · SUPPLY

Sell-Off Deepens as Seoul Hits a Circuit Breaker — While Suppliers Still Say Memory Is Short

Micron fell 17% and Sandisk 22% on Thursday; Seoul opened into a Level-1 halt on Friday. The same week, Counterpoint put Q3 DRAM near $200 billion and TechInsights still sees supply at about 85% of demand.

By the Memory Cycle Desk · Tel Aviv · ~08:35 IST Friday (UTC+2) · Korean prices near close (Yahoo ~15:33 KST; official close wire pending) · CONFIRMED unless marked

KEY NUMBERS · FRIDAY IN ASIA, THURSDAY IN NEW YORK

ASIA, FRIDAY (KOREA NEAR CLOSE)

KOSPI, Fri near close	**5,042.25 (−6.34%)**
KOSPI, Thu close	**5,383.80 (−5.28%)**
Samsung, Fri near close	**₩188,500 (−6.45%)**
SK hynix, Fri near close	**₩1,129,000 (−10.68%)**
Samsung / SKH, Thu	**₩201,500 / ₩1,264,000**
USD/KRW (Thu)	**~1,342.1**

US THURSDAY CLOSES AND SPOT

Micron	**$656.39 (−17.46%)**
Sandisk	**$806.43 (−22.26%)**
SOX	**9,011.14 (−12.25%)**
DDR5 16Gb spot	**$60.17 (−0.82%)**
DDR4 16Gb spot	**$80.94 (−0.91%)**
512Gb TLC wafer spot	**$16.15 (−4.33% w/w)**

What this shows: equities are pricing slower US data-center builds; spot DRAM edged lower for a second session; weekly NAND wafer is unchanged from Nov 4. Korea Friday figures are near close (Yahoo ~15:33 KST; official close wire pending); circuit-breaker low ~4,911 (−8.5%) and open 5,263.63 (−2.2%) from Korea Herald / Sedaily / JoongAng. Correction to No. 30: Thursday's Seoul close was KOSPI 5,383.80 (−5.28%), Samsung ₩201,500 (−7.57%), SK hynix ₩1,264,000 (−9.46%), foreigners −₩3.39T (Korea Herald / MoneyToday / LC News), not the provisional 14:38 prints. Spot as of Nov 6, 11:00 Taipei time; wafer price weekly (TrendForce). Sources: Korea Herald, Sedaily, Yonhap, Exa, MarketWatch/Morningstar, Yahoo Finance, TrendForce.

The midterm sell-off got worse. On Thursday the PHLX Semiconductor Index lost 12.25% to 9,011.14, its worst day since March 16, 2020. Micron closed at $656.39 (−17.46%), Sandisk at $806.43 (−22.26%, worst in the S&P 500), and the Nasdaq Composite fell 5.52%. Nvidia dropped about 9% (MarketWatch via Morningstar; Exa). Analysts framed it as uncertainty over AI data-center permitting and regulation after the Democratic midterm gains — Yorkville's Daniel Ives said the build-out looks "slower and a longer process than it looked like 48 hours ago."

Seoul followed. Thursday's final close corrected our provisional prints: KOSPI 5,383.80 (−5.28%), Samsung ₩201,500 (−7.57%), SK hynix ₩1,264,000 (−9.46%), with foreigners net selling ₩3.39 trillion (Korea Herald). On Friday the KOSPI opened at 5,263.63 (−2.2%) and hit a Level-1 circuit breaker within

about three minutes as the index fell roughly 8.5% into the 4,900s — the first sub-5,000 print since Feb 2. Premarket depths had Samsung as much as −13% and SK hynix −15.3%; at 9:14 a.m. they were −9.98% and −11.71%. By the afternoon the index had reclaimed 5,000 on institutional and pension buying before finishing near 5,042.25 (−6.34%) on Yahoo's near-close print, with foreigners still selling (Korea Herald, Sedaily, Yahoo).

Supply news still pointed the other way. Counterpoint put Q3 DRAM revenue near $200 billion on only about 4% bit growth. TechInsights' Jeongdong Choe still puts supply at about 85% of demand. TrendForce sees overall DRAM bit supply growth slowing to 24% in 2027 and remaining tight. Spot DRAM, though, fell for a second session: DDR5 16Gb to $60.167 (−0.82%), DDR4 16Gb to $80.938 (−0.91%). The 512Gb TLC wafer weekly print is still $16.152 (−4.33% w/w from Nov 4).

Our call: unchanged overall on supply; policy and sentiment risk up sharply; DRAM spot a second down day, still elevated. CYCLE SIGNAL: STOCKS PRICING SLOWER DEMAND; FUNDAMENTALS STILL TIGHT

SUPPLY · TAIWAN · LABOR

Micron Pauses a $3–4.5B Taiwan Fab Over a Labor Fight

Bloomberg, citing people familiar, says Micron has all but halted construction of Fab 11E in Taoyuan — a $3–4.5 billion HBM and DRAM project including ASML tools, due around 2028. Only minor safety work remains. Executives worry a Taichung union deal could be overturned as the smaller Taoyuan union (seeking 15% of operating profit, all cash) expands. Micron did not address the pause: Taiwan ops "continue as normal" and "we look forward to reaching an agreement." Taiwan is about 60% of Micron's conventional DRAM output. A delayed 2028 shell is a supply-side wrinkle in an already-short market (Taipei Times / Bloomberg, Focus Taiwan) REPORT.

DEMAND · PRICING · SHARE

Counterpoint: Q3 DRAM Near $200B on Just 4% Bit Growth

"This is a pricing super-cycle, not yet a volume cycle," Counterpoint's Jeongku Choi wrote. Bit shipments rose only about 4%, yet DRAM revenue reached nearly $200 billion — about 5× a year ago, or +369% y/y — with ASPs at about $1.9 per Gb. Shares: Samsung 38%, SK hynix 29% (revenue up more than 40% q/q), Micron 21%, CXMT 9%. MS Hwang said HBM prices are catching commodity DRAM, LTAs support prices, and "major new fabs will not start production until 2028." Conventional DDR/LPDDR revenue rose about 500%/nearly 400% y/y as agentic AI lifts CPU DRAM (Vera Rubin ~1.5 TB per socket). Samsung is expected to take the HBM lead next year on HBM4 (Counterpoint, Nov 5).

FROM THE INBOX · SINCE NOV 5, 08:15 IST

NEW **TrendForce on 2027 bits.** Overall DRAM bit supply growth slows to about 24% in 2027 and stays tight; server CPU shipments rise more than 30% y/y while server DRAM bit supply rises about 25%, widening the gap. AI server shipments seen +36% y/y in 2027. Semis digest citing TrendForce via X (Nov 6)

NEW **Desk: "capitulatory."** A trading desk called Thursday's washout LO-heavy (about 55/45 vs prior HF-led sessions): Sandisk −22% (worst in the S&P), DRAM ETF ~−18%, Micron ~−15–17%, SK hynix ADR ~−13%, SOXX ~−13%, Nvidia −9%; VIX near 27; net selling nine straight sessions in TMT. Broker trading desk / flow notes (Nov 5–6)

NEW **Data-center GW cut again.** A broker's PTO model cut incremental IT gigawatts for 2027–30; Texas and Georgia stay in the highest risk tier after the midterms. An earlier Petersen note had already cut installed IT GW 2026–30E. Broker DC / PTO notes (Nov 5–6)

ON X · SINCE THU ~08:00 · IST

@jukan05 · Nov 5 16:22
Relays a veteran investor: memory LTAs are "basically meaningless"; historically broken after >60% price falls from peak; even at 3× 2027 P/E a 2028 break would re-rate higher — so valuations "not cheap." One investor's view, not a fact.
x.com/…/2118348140139155522

@pequityresearch · Nov 6 03:07
TrendForce: overall DRAM bit supply growth slows to 24% in 2027; tight continues; server CPU >+30% y/y vs server DRAM bit ~+25%.
x.com/…/2118510588984795198

@pequityresearch · Nov 6 00:59
Citi: 2027E DRAM S/D ratio eases from −8.7% to −3.8%; supply +24% vs demand +28% (prior +19% / +30%).
x.com/…/2118478381826158904

@pequityresearch · Nov 5 19:00
TechInsights' Jeongdong Choe: memory boom 3–4 more years; supply ~85% of demand now; expects 90–95% next year — still a seller's market.
x.com/…/2118387872512516469

CYCLE TRACKER · SUPPLY TIGHT; SPOT SOFTER; POLICY RISK UP SHARPLY

GAUGE	TODAY VS NOV 5 (KPI WATCH LIST)	NUDGE
Contract ROC	Counterpoint ASP ~$1.9/Gb in Q3; Citi still sees 2027 DRAM undersupply (−3.8%); street ASP paths via X still elevated	**Rising, slower**
Spot vs contract	DDR5 16Gb $60.17 (−0.82%), second down day; DDR4 16Gb −0.91%; 512Gb TLC wafer still $16.15 (−4.33% w/w)	**Edging lower**
LTAs / lead times	TechInsights/Counterpoint: LTAs support; fabs 2028; TrendForce bit supply +24% 2027 still tight; Jukan LTA-break thesis (one view)	**Long, firm**
Margins / guide	Q3 DRAM ~$200B on price; equities pricing slower DC builds (MU −17%, SNDK −22%, SOX −12%)	**Peak zone**
Capex / new supply	Micron Fab 11E pause ($3–4.5B, due 2028; report); Samsung Giheung base-die fab carried; CXMT/YMTC expand	**Building, with pause**

VERDICT VS PREVIOUS CALL (NO. 30, NOV 5)
Late upcycle; tight through 2027 and booked into 2028. Unchanged overall on supply. Fundamentals still tight: Counterpoint Q3 ~$200B on +4% bits, TechInsights ~85% supply/demand, TrendForce +24% 2027 bit supply still short. Micron's Fab 11E pause is a conventional-DRAM supply wrinkle. Policy/sentiment risk is up sharply: worst SOX day since March 2020 (MU −17%, SNDK −22%); Seoul Level-1 circuit breaker Friday; DRAM spot a second down day (DDR5 −0.82%). Playbook: softer spot and equities pricing slower data-center timing are late-cycle/sentiment signals — not yet a break in physical tightness. Next: payrolls today 15:30 IST, TSMC Oct sales Nov 10, Nvidia Nov 17.

EVENTS CALENDAR · NOV 6–20 · ISRAEL TIME (IST, UTC+2) · US CASH OPEN 16:30

Fri Nov 6	US October payrolls 15:30	Macro
Mon Nov 9	Sandisk split record date (8-for-1) · Onto Innovation after the close · Nvidia AI Day Seoul	NAND
Tue Nov 10	TSMC October sales · US CPI 15:30 · CoreWeave / Infineon after the close	AI
Wed Nov 11	Korea Nov 1–10 exports · US Veterans Day (markets closed)	Trade
Thu Nov 12	Applied Materials after the close · Nebius · Fri: US PPI 15:30	WFE
Tue Nov 17	Nvidia FQ3 results (call 00:00 Nov 18) · SC26 exhibits Nov 17–19	HBM
Thu Nov 20	Sandisk first split-adjusted trading day (effective after close Nov 19)	NAND

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #31 · Nov 6, 2026